

More than fifty-five million dollars in coupon-related fraud was uncovered in Pennsylvania alone between 1982 and 1987.

The “Al Capone” of coupon misredemption in the 1980s had to be Larry Krasnick, the ring-leader of a forty-four million dollars coupon ring. Krasnick recruited small store owners, who had redeemed very few coupons before they met him. Suddenly, they were redeeming thousands of coupons, and Krasnick’s crime syndicate was helping them process those coupons for payment. As Krasnick’s business grew larger, he set up phony storefronts exclusively for the purpose of misredeeming coupons. And where did all those coupons come from? Krasnick estimated that of the 110 million coupons he misredeemed over a period of ten years, 99.9 percent came from non-profit groups.

Yes, charity groups. In a 1997 interview, US Postal Inspector Rick Bowden stated that religious or charitable organizations were the unwitting suppliers of coupons in almost every major coupon-fraud investigation he’d conducted in the previous twenty years. In 1997, more than 90 percent of the coupons run through the stream of fraudulent misredemption were clipped by very nice people who thought they were helping the poor, children with cancer, private religious schools, or whatever cause they donated the money to. Instead, they were unwitting accomplices to the crime of coupon misredemption.

Coupon crooks can get pretty creative in obtaining extra coupons to run through the system. According to a 1988 *Los Angeles Times* article in 1972, a Los Angeles accountant recruited hundreds of housewives to clip newspaper coupons, paying them \$5 a pound. A few years later, authorities